Study Notes

Sectors of Economy

Introduction

- As we know economic activities are performed by human resources to serve the needs of life. This sums up as the whole economy. However, these economic activities are classified on various basis to for different sectors.
- Economy involves the crucial question of allocating the scarce resources to fulfill various needs of humankind.
- Hence, it is very important to understand which are the economic activities which need more support for the benefit of economy, which is the sector contributing to the employment scenario, which is the sector which needs more State control.
- To answer these questions we need to classify economic activities in different sectors and understand the interdependence among these.
- For example, immediately after independence Industrial (secondary) sector was chosen as the Prime Moving Force for our economy.
- But with Tenth Five Year Plan (2002-07) this was changed to Agriculture because of pressing needs and demands of economy.
- Indian economy is still dependent on agriculture for employment in a skewed manner which undermines the demographic dividend and lowers the economic growth.
- To remedy the same we need to move people from Agriculture (Primary) to Manufacturing (Secondary) and Services (Tertiary) sector.
- To make such analysis and economic decisions we need to classify economy in to sectors.

Various sectors of an Economy

Based on ownership, working conditions and the nature of the activities Indian Economy is classified under various sectors (Figure 1)

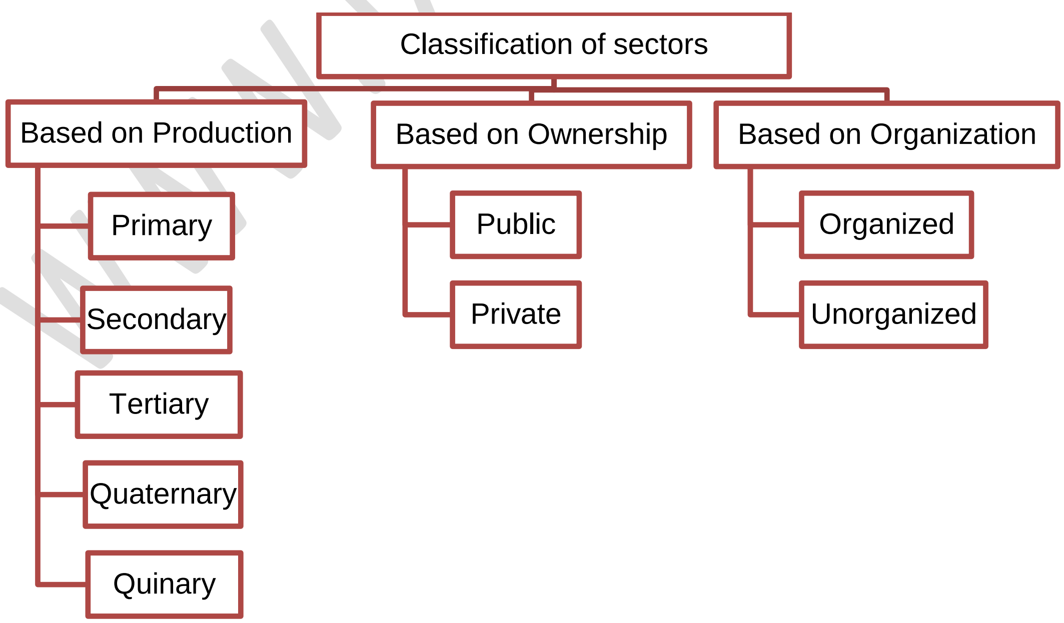

Figure 1. Classification of sector

Sectors of Economy Based on Production

Primary Sector

- Economic activities which are directly dependent on natural resources such as land, vegetation, water, animals etc. are termed as primary sector.
- Example- Agriculture, Fishery, Forestry, Hunting and gathering, Mining, Quarrying, Pastoral activities etc.
- People involved in this sector are called "Red collar workers".

Secondary Sector

- Economic activities which uses natural resources as raw material and add value to them during production process ,are termed as secondary sector.
- Example-Manufacturing, Infrastructure , Construction etc.
- People employed in this sector are called "Blue collar workers"

Tertiary Sector

- This sector included production of "Services" to support primary and secondary sector activities.
- Example-Banking, Insurance, Transport, Trade, Communication etc.
- People working in this sector are called "White collar workers".

Quaternary Sector

- These are knowledge based specialized economic activities.
- Example-Software development, Consulting, Accounting, Brokerage, Fund management etc.

Quinary Sector

- These are economic activities which involve innovation, creativity, and idea based services and use latest technology.
- Example-Research scientists ,top business executives , innovators etc.
- People involved in this sector are called "Gold collar workers".

Sectors of Economy Based on Ownership

Public Sector

- All enterprises having more than 50% stake of Central /State government or another enterprise having the majority ownership of Central/State government comes under Public Sector.
- Example-Public Sector Banks , ONGC , LIC , SAIL , IRCON etc.
- In India this is still the bigger employment provider in the economy. Railway and Defense Sector are the biggest employers in the economy which are under Public sector

Private Sector

- This includes all the companies which have majority stake (more than 50%) of private firms/ individuals, trusts etc. It is not necessary that one person or company holds the majority stake but combined stake of private company, trust or individual should be more than 50%.
- Example-Reliance Industries, TCS, Infosys etc.
- The share of private sector in employment and economic growth is rising in India in recent time

Sectors of Economy Based on Organization

Organized Sector

- It includes all the production unit which are incorporated as per government rules , registered with appropriate authority and follow all the Government rules and regulation regarding labor. For most of the government rules and legislations it includes all the firms having more than 10 employees.
- Example- Banks, Railway, Airlines etc.

Unorganized sector

- It includes production units which do not comply with government rules and regulation, not registered with any appropriate authority etc.
- Example-Ration shops, Street vendors, small restaurants etc.

Problems faced by various sectors

Primary Sector	Public Sector	Unorganized Sector
✓ Lack of investment ✓ Lack of affordable and accessible credit ✓ Inadequate physical infrastructure ✓ Irregular income ✓ Lack of research and development ✓ Lack of technological advancement ✓ Disguised employment ✓ Less than potential value addition	✓ Lack of standardization of procedures ✓ Lack of autonomy in decision making ✓ Government interference ✓ Lack of professionalism ✓ Irrational pricing of products ✓ Operational and managerial inefficiency	✓ Low productivity ✓ Lower wages ✓ Poor working condition ✓ Seasonality of employment ✓ Absence of social security mechanisms ✓ Low skilled manpower